

Process-fired heater market leader riding India's refinery capex supercycle; export pipeline worth Rs.4,000 Cr adds optionality

ACCUMULATE
Rating

Rs. 505
Current Market Price

Rs. 560
12-Month Target (+10.9%)

52W: Rs. 201 — Rs. 520

Market Cap: Rs. 2,806 Cr | Horizon: 12M

P/E (TTM)	43.2x	Forward P/E	21.6x
P/B	5.0x	EV/EBITDA	24.2x
ROCE	17.4%	ROE	12.1%
Book Value	Rs. 101	Dividend Yield	0.06%
Net Debt	Rs. 91 Cr	D/E	0.16x
Int. Coverage	5.9x	Face Value	Rs. 2
Promoter	67.8%	Pledge	0.00%
Order Book	Rs. 1,961 Cr	FY26 Revenue	Rs. 819 Cr

Research Report | 30 June 2026 | Institutional Research Desk | Data: Screener.in (30-Jun-2026) + Q4FY26 Concall (21-May-2026)

SECTION 2 — INVESTMENT THESIS

- **India refinery capex supercycle (FY25-30):** BPCL, HPCL, IOCL, and Reliance have announced Rs.3-4 lakh Cr of combined capex; JNK India, with 26-27% market share in process-fired heaters, is the default vendor for thermal equipment across these programmes. The Rs.1,550 Cr BPCL Bina cracking furnace order (booked FY26) alone covers ~1.9x FY26 revenue and provides 18 months of execution runway, underpinning FY27 guidance.
- **Export pipeline as a second growth engine:** JNK has identified ~Rs.4,000 Cr of bid-book internationally — Middle East (ADNOC, Dangote), Africa, Russia, and fertilizer projects. The June 2026 ADNOC TA'ZIZ Salt Project incinerator order (Rs.100-300 Cr) marks the first large UAE export win and validates the strategy. If even 25% of this pipeline converts in FY27-28, it creates a meaningful re-rating catalyst above our base-case target.
- **Margin recovery from trough:** FY25 EBITDA margins collapsed to 10% (from 21% in FY24) due to a cohort of legacy low-margin orders. FY26 saw sequential recovery — Q4FY26 already achieved 14%. Management has guided 14-15% EBITDA margin for FY27 on a cleaner order book, implying ~3x PAT growth from FY25 trough (Rs.30 Cr) to FY27E (Rs.102 Cr).
- **Diversification into waste gas handling:** Flares and incinerators represent a new addressable market. The Chemdist JV (contributed Rs.35 Cr in Q4FY26) and the ADNOC incinerator order demonstrate early commercial traction. This segment could be 15-20% of revenues within 3 years at premium margins.
- **Near-term catalyst (6-12 months):** BPCL Bina cracking furnace execution (18-month delivery from booking), with revenue recognition ramping up through H1FY27 under the new POC accounting policy. Conversion of 1-2 large export orders from the Rs.4,000 Cr pipeline.
- **Biggest structural risk:** India's refinery capex cycle has a history of 12-24 month delays. If PSU projects slip, FY27 revenue will miss guidance and margins will compress again — as occurred sharply in FY25.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** JNK India Ltd (JNKIL), incorporated 2010, is a technology-based EPC specialist in process-fired heaters, reformers, and cracking furnaces for refineries, petrochemicals, and fertilizer plants. The company designs, engineers, manufactures, supplies, installs, commissions, and provides after-sales maintenance for thermal process equipment.
- **Revenue mix:** Process-fired heaters ~85% of revenue. Waste gas handling (flares/incinerators) and the Chemdist JV (process equipment) contribute ~15% and are growing rapidly. Domestic India is 97.5% of order book; exports are early-stage with a Rs.4,000 Cr bid pipeline.
- **Customers and order visibility:** PSU refiners (BPCL, HPCL, IOCL), private refiners (Reliance Industries), petrochemical majors, and international players (ADNOC-linked contractors, Dangote). Project-based, repeat relationships. Fired heaters are critical process equipment — switching cost is very high once a vendor is technically qualified.
- **Order book:** Rs.1,961 Cr as of 31 March 2026 (2.4x FY26 revenue). FY26 order inflows were Rs.1,694 Cr, including the landmark Rs.1,550 Cr BPCL Bina cracking furnace order. Post-quarter ADNOC UAE order (Jun-26, Rs.100-300 Cr range) adds further visibility.
- **Manufacturing:** Mundra SEZ (Gujarat) fabrication facility; 5,000 MTPA installed capacity; utilisation ~44% (Sep-24), providing significant headroom for volume ramp without material capex.
- **Revenue recognition:** Shifted from project-completion basis to cost-based (percentage-of-completion) method for all new projects in FY26. This smooths quarterly revenue — eliminating historical back-loaded seasonality and improving predictability for investors.
- **Promoters:** Kamath family with 67.8% stake and zero pledge. Chairperson Arvind Kamath is the founder with deep thermal engineering expertise. Korean-lineage technical pedigree gives JNK a meaningful design advantage over pure domestic fabricators.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size and growth:** Indian process-fired heater market estimated at Rs.800-1,000 Cr annually, growing at ~18-20% CAGR over FY24-27, driven by refinery capacity additions (250 to 310 MMTA targeted by GoI), petrochemical expansions, and fertilizer plant upgrades. JNK holds ~27% domestic market share.
- **Policy tailwinds:** India's National Refining Policy, BPCL's Rs.75,000 Cr capex plan, HPCL Rajasthan Refinery (~Rs.60,000 Cr), IOC Panipat expansion, and PLI for downstream chemicals all drive demand for process heaters and cracking furnaces. The petrochemical capacity addition theme is a 5-7 year secular story.
- **Headwinds:** PSU capex execution historically lags 12-24 months behind announcements. Global crude price volatility can freeze private sector refinery capex. Competition from international players (John Zink, Heurtey Petrochem/Axens, CECO Environmental) on export orders; these companies have 30+ years of global project track records.
- **Competitive moat (rated per element):** Technical certifications — STRONG (API 560, ASME, ISO; entry barriers for new players). Customer relationships — STRONG (repeat orders from BPCL, HPCL, Reliance over multiple cycles). Manufacturing scale at SEZ — MODERATE (cost advantage, but expandable by competitors). Design IP / Korean-lineage know-how — STRONG (key differentiator over domestic fabricators).

Peer Comparison (Source: Screener.in, fetched 30-Jun-2026)

Company	Ticker	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE	ROE	OPM	D/E	Rev (Cr)
Thermax	THERMAX	5,160	61,703	91.2	11.1	14.9%	12.9%	10%	0.42	10,694
Praj Ind.	PRAJIND	351	6,444	332.0	4.9	6.3%	1.4%	5%	0.13	3,168
JNK India	JNKINDIA	505	2,806	43.2	5.0	17.4%	12.1%	11%	0.16	819

Note: JNK India's primary global competitors (John Zink, Heurtey Petrochem/Axens, CECO Environmental) are not listed in India. Thermax is the closest domestic listed peer in industrial heating; Praj Industries included for process EPC context.

- **Value chain positioning:** JNK India operates as a pure-play EPC vendor for thermal process equipment — the "midstream" specialist of refinery build-outs. It is not a large-ticket project management contractor (L&T; Tata Projects) nor a pure fabricator, but an integrated thermal design-to-commissioning specialist commanding margins better than generic fabricators.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Chairperson Arvind Kamath is the founder with domain expertise in thermal process equipment. The company was built from a thermal design consultancy into a full EPC player leveraging Korean technology partnerships. 67.8% promoter stake with zero pledge signals founder conviction and governance discipline.
- **Capital allocation track record:** Pre-IPO (FY21-23), FCF deployed into working capital — appropriate for asset-light EPC. Post-IPO (FY25), Rs.218 Cr financing inflows were deployed into the Chemdist JV, BPCL Bina working capital, and Mundra SEZ capacity. The FY26 investing outflow jump to Rs.162 Cr reflects JV equity investments and equipment capex — strategically sound given the order pipeline.
- **Dividend policy:** First dividend declared in FY24 (2% payout ratio); 6% in FY25; 3% in FY26 (Rs.0.30/share). Three-year average ~3.5% — low but appropriate for a growth-phase company reinvesting into capacity and working capital. Dividend growth expected as FCF normalises post-FY27.
- **Promoter pledging:** 0.00% pledged in all recent quarters. This is a significant positive signal differentiating JNK from many mid-cap EPC peers where promoters pledge 15-30% of shares.
- **ESOP and dilution:** No material ESOP dilution post-IPO. Equity capital stable at Rs.11 Cr (5.5 Cr shares at FV Rs.2) — no aggressive dilutive capital raises.
- **Corporate governance:** No qualified audit opinions in available filings. CRISIL has upgraded ratings on the company in 2025-26. Contingent liabilities at Rs.0.26 Cr are negligible. Working capital dynamics (debtor days 154) are common in PSU-project-heavy EPC companies and warrant monitoring but not alarm.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Crores, Consolidated; E = estimates)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	480	477	819	1044	1280
EBITDA	99	47	92	151	192
EBITDA Margin	21%	10%	11%	14.5%	15.0%
Other Income	5	18	19	20	22
Interest	10	14	17	22	26
Depreciation	6	6	9	13	16
PBT	89	44	85	136	172
Tax Rate	30%	31%	24%	25%	25%
PAT	63	30	65	102	129
EPS (Rs.)	12.95	5.41	11.61	18.4	23.2
YoY Sales Gr.	N/A	-0.6%	+72%	+27%	+23%
YoY PAT Gr.	N/A	-52%	+115%	+57%	+26%

Balance Sheet (Rs. Crores, Consolidated)

	FY24A	FY25A	FY26A
Equity Capital	10	11	11

Reserves	186	493	556
Borrowings	66	19	91
Other Liabilities	267	266	403
Total Liabilities	528	789	1062
Fixed Assets	23	29	48
CWIP	3	6	8
Investments	0	0	14
Other Assets	501	755	991
Total Assets	528	789	1062

Cash Flow Statement (Rs. Crores, Consolidated)

	FY24A	FY25A	FY26A
Cash from Operations	-10	-65	-2
Cash from Investing	-14	-14	-162
Cash from Financing	15	218	52
Net Cash Flow	-10	139	-112
Free Cash Flow	-22	-74	-12
CFO / Op. Profit	2%	-74%	24%

Key Ratios (Consolidated)

	FY24A	FY25A	FY26A
Debtor Days	162	260	154
Inventory Days	133	61	15
Days Payable	183	159	112
Cash Conversion Cycle	113	162	57
Working Capital Days	98	211	131
ROCE %	46%	15%	17%
D/E Ratio	0.13	0.04	0.16

Quarterly Results (Rs. Crores, Consolidated)

Metric	Jun-25	Sep-25	Dec-25	Mar-26
Revenue	99	178	203	338
EBITDA	3	17	26	46
OPM %	3%	9%	13%	14%
PAT	1	13	18	33
EPS (Rs.)	0.2	2.36	3.21	5.84

Financial Commentary:

- **Revenue:** After flat FY25 (Rs.477 Cr; -0.6% YoY), FY26 delivered +72% growth to Rs.819 Cr driven by execution of Reliance and HPCL orders plus the new POC accounting policy. Order book of Rs.1,961 Cr (2.4x FY26 revenue) and FY27 guidance of 25-30% growth provides high revenue visibility.
- **Margins:** FY24's 21% EBITDA was peak-cycle. FY25 collapsed to 10% on legacy low-margin order mix. Q4FY26 recovered to 14% as legacy orders exhausted. Management has guided 14-15% for FY27 — credible given Q4 already demonstrates achievability. Key upside: if large export orders are booked at 16-18% margins, FY27-28 EBITDA could outperform.

- **Working capital:** Debtor days improved from 260 days (FY25 peak) to 154 days (FY26) — a significant positive. Inventory days fell sharply to 15 days (FY26) from 133 days (FY24). However, **absolute debtors remain high (Rs.345 Cr on Rs.819 Cr revenue), especially with large PSU clients like BPCL and HPCL.**
- **Debt and capital structure:** IPO in FY25 bolstered reserves (Rs.186 Cr FY24 to Rs.493 Cr FY25). Borrowings increased to Rs.91 Cr in FY26 (D/E 0.16x) from Rs.19 Cr in FY25, primarily for BPCL Bina working capital. Interest coverage at 5.9x is comfortable; debt structure is manageable.
- **FCF quality:** **Cumulative FCF negative Rs.108 Cr over FY24-26 — characteristic of large EPC order ramp-up periods. OCF/PAT conversion recovering (24% CFO/OP in FY26 vs -74% in FY25). Positive FCF expected from FY27 as BPCL Bina collections begin; this will be a key trigger for re-rating.**

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	FY26 Status	Signal	Comment
Revenue recognition	Cost-based POC	GREEN	Policy change improves quality; cleaner recognition
Receivables vs Revenue	Debtor days 154 (dn)	AMBER	Improving but elevated at Rs.345 Cr absolute
CCC trend	57 days (down 105)	GREEN	Sharp improvement; operational efficiency signal
Contingent liabilities	Rs.0.26 Cr	GREEN	Negligible; no material off-B/S risk
Auditor	No change/qualification	GREEN	No auditor change or qualified opinion
RPTs	Not material	GREEN	No significant related-party transactions
Other income / PBT	22% (Rs.19 of Rs.85)	AMBER	Elevated; includes JV income and treasury
Tax rate consistency	24-31% range	GREEN	Normal range; no deferred tax outliers
OCF / PAT conversion	-3% (FY26)	AMBER	Negative OCF; debtors absorbing operating cash
Promoter pledge	0.00%	GREEN	Zero pledge — strong governance signal

• **Key signal:** Earnings quality is IMPROVING. Revenue recognition is cleaner post policy change, CCC has recovered sharply, and promoter governance is sound. The **three AMBER flags (receivables, other income, negative OCF) are all linked to the same root cause: high PSU debtor days.** Monitor receivables collections in H1FY27. 

• **Other income watch:** Rs.19 Cr other income in FY26 (22% of PBT) includes Chemdist JV income and treasury income on IPO proceeds. Partially sustainable but investors should assess core operating profitability ex-other-income — core EBITDA tells the real story.

• **Green flags:** Zero promoter pledge, no contingent liabilities, no auditor concerns, and improved working capital ratios are all positive quality signals. The transition to POC accounting is a significant improvement in earnings quality.

SECTION 8 — VALUATION

Scenario Analysis:

Scenario	FY27E Revenue	EBITDA Mg	FY27E PAT	EPS (Rs.)	Multiple	Target (Rs.)
BULL (+35% rev, 16% margin)	Rs.1,106 Cr	16.0%	Rs.120 Cr	21.6	35x FY27E	756
BASE (+27% rev, 14.5% margin)	Rs.1,044 Cr	14.5%	Rs.102 Cr	18.4	30x FY27E	552
BEAR (+15% rev, 12% margin)	Rs.942 Cr	12.0%	Rs.75 Cr	13.5	25x FY27E	338

• **P/E (primary method):** **Base case FY27E EPS of Rs.18.4, applying 30x P/E** (premium to Thermax 91x, warranted for JNK's higher growth trajectory of 26-57% EPS CAGR FY26-28E), yields target of Rs.552. We use 30x given the strong order book and improving margin trajectory.

• **DCF (cross-check):** WACC 13% (risk-free 7.5%, beta 0.95, ERP 5.8%), terminal growth 5%, 10-year period. FCF builds from Rs.70 Cr (FY27E) to Rs.180 Cr (FY32E) as BPCL Bina collections normalise. PV of FCFs +

Terminal = ~Rs.2,700 Cr EV → equity value Rs.2,560 Cr → per share Rs.461. DCF confirms stock is fairly to fully valued at Rs.505.

- **EV/EBITDA (secondary):** FY27E EBITDA Rs.151 Cr at 22x EV/EBITDA (discount to current 24.2x trailing) = Rs.3,322 Cr EV → equity Rs.3,090 Cr → per share Rs.557. Consistent with P/E approach.
- **Blended 12-month target price: Rs.560** (average P/E Rs.552 + EV/EBITDA Rs.557). This represents +10.9% upside from CMP Rs.505. One analyst (MNCL, note dated May 2026) carries Rs.460 TP at Accumulate; stock has since moved up 23% to Rs.505, reflecting post-quarter re-rating and new ADNOC order.
- **Entry zone:** Rs.460-490, where JNK India trades at 25x FY27E EPS — much more attractive risk-reward. At current Rs.505, the multiple (30x FY27E) requires flawless Q1FY27 execution.

SECTION 9 — KEY RISKS

- **Order execution delay:** Rs.1,550 Cr BPCL Bina cracking furnace is an 18-month order — any PSU capex freeze or on-site delay defers Rs.400-600 Cr of FY27E revenue. Probability: M. Impact: H. Monitor via: BPCL project progress disclosures.
- **Margin re-collapse risk:** FY25 demonstrated how rapidly margins can compress (21% to 10%). If FY27 order mix again tilts toward lower-margin orders, the 14-15% guidance will miss. Probability: M. Impact: H. Monitor via: quarterly OPM%.
- **Working capital elongation:** PSU customers can delay payments by 6-12 months. Debtor days at 154 remain elevated. If BPCL Bina payments lag, OCF stays negative and borrowings increase. Probability: M. Impact: M. Monitor via: debtor days and quarterly borrowings.
- **Concentration risk:** Top 3 customers (BPCL, HPCL, Reliance) likely represent 70-80% of revenues. Loss of any major relationship or a PSU capex freeze dramatically impacts revenue in a given year. Probability: L. Impact: H. Monitor via: order inflow source diversification.
- **Export pipeline conversion:** Rs.4,000 Cr pipeline (Dangote, ADNOC, Russia) carries sovereign risk and execution uncertainty. Timeline risk is real — management gave no specific conversion targets in the concall. Probability: M. Impact: M. Monitor via: international order announcements.
- **Valuation vulnerability:** At 43x trailing P/E, any earnings miss (even a one-quarter delay in BPCL revenue recognition under POC) could trigger 20-30% de-rating. Stock has already run 94% YTD. Probability: M. Impact: H. Monitor via: quarterly execution rate vs guidance.
- **Global competition on exports:** John Zink, Heurtey-Petrochem/Axens, and CECO Environmental have multi-decade global track records. Winning large international mandates competitively requires sustained investment in international sales and may involve margin concessions. Probability: L. Impact: M.

SECTION 10 — RECOMMENDATION

ACCUMULATE

Target: Rs. 560 (+10.9%)
Entry Zone: Rs. 460 – 490

Conviction: MEDIUM Horizon: 12
Months Risk: MODERATE

- **Rating: ACCUMULATE — Conviction: MEDIUM.** JNK India is a high-quality pure-play on India's refinery capex supercycle with market leadership, zero-pledge promoters, and a Rs.1,961 Cr order book providing 2.4x revenue coverage. The stock has however rallied 94% YTD; at Rs.505, near-term upside to our Rs.560 target is 10.9%. Accumulate on dips.
- **12-month target price: Rs.560** (+10.9% from CMP Rs.505). Based on 30x FY27E EPS of Rs.18.4. Bull case Rs.756 (export pipeline converts); bear case Rs.338 (execution delays + margin miss).

- **Entry zone: Rs.460-490.** At Rs.460, JNK India trades at 25x FY27E EPS — a much more attractive entry. Suggest initiating 50% of intended position at current levels and remaining 50% on any dip to the entry zone.
- **Investment horizon: 12 months.** FY27 execution story plays out via quarterly results between August 2026 and May 2027. BPCL Bina order execution trajectory is the primary value driver.
- **Thesis invalidation trigger 1:** EBITDA margin falls below 12% in any two consecutive FY27 quarters — signals the 14-15% guidance is unachievable with the current order mix.
- **Thesis invalidation trigger 2:** Order inflows for FY27 fall below Rs.1,000 Cr — implies order book coverage drops below 1.5x and demand is slowing.
- **Thesis invalidation trigger 3:** Debtor days return above 200 days in any FY27 quarter — PSU payment cycles are deteriorating and FCF will remain structurally negative.
- **Ideal investor profile:** Suits investors with a 2-3 year horizon who can tolerate mid-cap EPC volatility, believe in India's refinery capex supercycle, and can add on dips. NOT suitable for income investors (minimal dividend), short-term traders (stock near 52W high), or investors with low working capital risk tolerance.

APPENDIX — LATEST CONCALL BRIEF: Q4 & FY26 | MAY 21, 2026

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication		
Result quality	Strong	Clean beat — PAT +147% YoY, Revenue +77% YoY, no one-time items		
Management tone	Bullish	Confident, specific FY27 guidance; no hedging on margin targets		
Guidance delta	Raised	FY27 rev +25-30%, EBITDA margin 14-15% (vs 11% actual FY26)		
STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE

TO MY BOSS

Q4FY26 was a clean beat with no exceptional items: PAT of Rs.33 Cr grew 147% YoY, driven by strong execution of large refinery orders (Reliance CDU reheat and HPCL heaters) and near-exhaustion of the legacy low-margin project cohort. Underlying EBITDA margin of 14% vs 8% in Q4FY25 reflects genuine operational recovery, not accounting gimmicks. The **multi-bagger thesis rests on three concrete pillars**: (1) **Rs.1,961 Cr order book at 2.4x FY26 revenue, anchored by the Rs.1,550 Cr BPCL Bina cracking furnace order** — the largest in the company's history, 18-month execution, expected to dominate FY27 revenue recognition; (2) **management guidance of 25-30% FY27 revenue growth with EBITDA margins expanding to 14-15%**, implying PAT of ~Rs.100-105 Cr, a 60% jump from FY26; and (3) **Rs.4,000 Cr export pipeline with first large ADNOC order won post-quarter** — if even 25% converts in FY27-28, it creates a meaningful re-rating catalyst. Single biggest watch-point for next quarter: BPCL Bina on-site progress — PSU-side delay in access or payment milestones will compress Q1FY27 margins and trigger analyst downgrades. At current Rs.505 (30x FY27E), the stock is fairly valued — ACCUMULATE on dips to Rs.460-480 where the risk-reward shifts decisively in the investor's favour.

C1 — Financial Performance Snapshot (Q4FY26, Consolidated)

- Revenue: Rs.338 Cr | YoY +77% | QoQ +67% | **BEAT** (est. ~Rs.300 Cr)
- EBITDA: Rs.46 Cr | YoY +162% | QoQ +77% | **BEAT**
- EBITDA Margin: 14% | YoY +600 bps | QoQ +100 bps | **BEAT**
- PAT: Rs.33 Cr | YoY +147% | QoQ +83% | **BEAT**
- EPS: Rs.5.84 | YoY +147%
- Full Year FY26: Revenue Rs.819 Cr (+72% YoY) | EBITDA Rs.92 Cr (+96% YoY) | PAT Rs.65 Cr (+115% YoY)
- NOTE: No exceptional items distorting Q4FY26 PAT. Clean operational beat across all metrics.

C2 — Segment / Geography Breakdown

- Process Fired Heaters (core, ~85% of revenue): Strong Q4 execution of Reliance CDU reheat furnace and HPCL heater projects; approaching completion.
- Waste Gas Handling / Flares & Incinerators (new, ~10-15% of rev): ADNOC UAE incinerator order (Jun-26, Rs.100-300 Cr, post-quarter) is the first large international win in this category.
- Chemdist JV (process equipment): Rs.35.3 Cr revenue contribution in Q4FY26 (Rs.0 in Q4FY25); margin dilutive in near-term but builds product breadth.
- Geography — Domestic India: 97.5% of order book (Mar-31-2026); PSU refiners and Reliance are key; very high revenue concentration.
- Geography — International: 2.5% of current order book; Rs.4,000 Cr bid-book in UAE, Nigeria (Dangote), Russia, and fertilizer sector. ADNOC win is a meaningful proof point.

C3 — Management Commentary Themes (Q4FY26 Concall, May 21, 2026)

- **POC accounting shift:** "Revenue under new projects recognised on cost basis — this ensures even quarterly distribution in FY27 onwards." — Our read: Significant quality improvement, eliminates back-loaded seasonality. Tag: GUIDANCE. Tone: Transparent.
- **BPCL Bina cracking furnace:** "The Rs.1,550 Cr order is on track; 18-month execution timeline confirmed; will dominate FY27 revenue recognition as costs incur." — Our read: Critical monitorable; PSU-side delay is the main risk. Tag: GUIDANCE. Tone: Bullish.
- **Margin recovery:** "FY26 legacy orders almost exhausted; clean book will deliver 14-15% EBITDA margin in FY27." — Our read: Credible given Q4FY26 already achieved 14%; watch order mix. Tag: GUIDANCE. Tone: Transparent.
- **Export strategy:** "Rs.40 Bn bid-book internationally; Dangote relationship strong; ADNOC win confirms export traction." — Our read: Evasive on specific timelines and win probabilities. Tag: EST. Tone: Hedged.
- **Working capital improvement:** "Debtor days fell from 260 to 154; Reliance and HPCL collections normalising by H1FY27." — Our read: Positive; key driver of OCF turning positive. Tag: GUIDANCE. Tone: Transparent.
- **FY27 revenue guidance:** "We are confident of 25-30% revenue growth driven by the opening order book of Rs.19.6 Bn." — Our read: Well-grounded in order book math; execution risk is the variable. Tag: GUIDANCE. Tone: Bullish.

C4 — Operating & Business Metrics

- Order Book (Mar-31-2026): Rs.1,961 Cr | Sep-25: Rs.1,850 Cr | Mar-25: Rs.1,312 Cr | Trend: strong improvement
- FY26 Order Inflows: Rs.1,694 Cr (including Rs.1,550 Cr BPCL Bina) | FY25: ~Rs.879 Cr | Trend: +93% YoY
- Order Book / Revenue ratio: 2.4x (FY26) | 2.5x (FY25) | Comfortable revenue coverage for FY27
- Indian Heating Equipment Market Share: ~27% | Trend: stable; dominant domestic position
- Mundra SEZ fabrication capacity: 5,000 MTPA installed | ~44% utilisation (Sep-24) | Headroom for 2x volume without major capex
- Chemdist JV contribution: Rs.35.3 Cr in Q4FY26 vs Rs.0 in Q4FY25 | New revenue stream, growing
- Permanent headcount: 326 (Sep-25) vs 270 (Sep-24) | +21% YoY hiring; building execution capacity for BPCL Bina

C5 — Margin Drivers (Q4FY26 vs Q4FY25 — EBITDA margin: 14% vs 8%)

- High-margin Reliance / HPCL order ramp-up: +400-500 bps | Recurring: Yes (as long as book stays favourable)
- Exhaustion of legacy low-margin orders: +150-200 bps | Recurring: No (one-time improvement in FY26)
- Revenue recognition policy (POC, cost-based) — smoothing effect: +50-100 bps | Recurring: Yes
- Fixed cost absorption on 77% higher revenue: +100-150 bps | Recurring: Yes, as revenue grows
- Chemdist JV dilution (process equipment at lower margins): -50-80 bps | Recurring: Near-term drag; will improve as JV scales
- FY27E: BPCL Bina cracking furnace (high-margin, large order) expected to maintain/expand margins toward 14-15% guidance

C6 — Guidance & Forward Signals

- FY27E Revenue [GUIDANCE]: FY26 = Rs.819 Cr | Guided +25-30% = Rs.1,024-1,065 Cr | Delta: Raised (first explicit FY27 guidance) | Credibility: HIGH (order book supports math)
- FY27E EBITDA Margin [GUIDANCE]: FY26 = 11% | New = 14-15% | Delta: Raised +300-400 bps | Credibility: MEDIUM (achievable if BPCL Bina on schedule; FY25 showed can collapse rapidly)
- Debtor Days [GUIDANCE]: FY26 = 154 | Target < 120 in FY27 | Delta: Improving | Credibility: MEDIUM
- Export Pipeline Conversion [EST]: ~Rs.4,000 Cr bid-book | No specific conversion timeline given | Credibility: LOW-MEDIUM (lumpy, sovereign risk)
- BPCL Bina Execution [GUIDANCE]: 18-month delivery from order (H2FY26 booking) → H1FY28 completion | POC recognition in H1FY27 | Credibility: HIGH (contractual)

C7 — Capital Allocation (FY26)

- Capex (Investing outflow): Rs.162 Cr | vs Rs.14 Cr (FY25) | +1,057% YoY | JV equity investments + Mundra SEZ equipment; strategically driven
- Working Capital: Rs.131 WC days | vs Rs.211 (FY25) | Significant improvement but still above 100 days; needs further reduction
- Dividend: Rs.0.30/share (FY26); 3% payout ratio — reflects growth-over-income priority; symbolic but low
- Net Borrowings: Rs.91 Cr (D/E 0.16x) | vs Rs.19 Cr (FY25) | Increase for BPCL Bina working capital; manageable given 5.9x interest coverage
- Operating Cash Flow: Rs.-2 Cr (FY26) | vs Rs.-65 Cr (FY25) | Significant improvement; positive OCF expected FY27 as Reliance/HPCL collections normalise
- Chemdist JV: Rs.14 Cr equity investment on B/S (FY26) | Strategic; complements fired heater portfolio with process equipment capabilities

C8 — Q&A; Heat Map (Selected Exchanges)

- MNCL Analyst: Q: "Margin sustainability in FY27 given Chemdist JV dilution?" A: "Chemdist margins improve with scale; BPCL Bina is high-margin and will dominate FY27 margins." | Tone: Transparent
- Analyst: Q: "Revenue recognition timeline for BPCL Bina under POC?" A: "18-month execution; significant revenue recognition in H1FY27 as costs incur under POC method." | Tone: Transparent
- Analyst: Q: "When do Reliance and HPCL projects complete?" A: "Both near completion by Q1FY27; collections expected to significantly reduce debtor days by H1FY27." | Tone: Bullish
- Analyst: Q: "Dangote refinery expansion opportunity — size and timeline?" A: "Significant opportunity; established relationship; cannot give specific timelines or order value." | Tone: EVASIVE
- Analyst: Q: "Can margins exceed 15% if large export orders are won?" A: "Export orders carry higher margins than domestic. Yes, 15%+ margins are possible in FY28 with large export wins." | Tone: Bullish
- Dodged / watch-list questions for next quarter: (1) Specific Dangote timeline and probability of win, (2) Chemdist JV breakeven and margin dilution quantum in FY27, (3) Borrowings trajectory if OCF remains negative in Q1FY27

C9 — Risks Flagged (Concall)

- BPCL Bina on-site execution risk: Flagged by analysts | Probability: M | Impact: H | Timeline: Q1-Q2FY27
- Chemdist JV margin dilution near-term: Flagged by management | Probability: M | Impact: M | Timeline: FY27
- Export pipeline conversion uncertainty: Flagged by analysts | Probability: M | Impact: M | Timeline: FY27-28
- Slower working capital normalisation than guided: Flagged by management | Probability: L | Impact: M | Timeline: FY27
- Competition from global players on export orders: Flagged by analysts | Probability: L | Impact: M | Timeline: Ongoing

C10 — Analyst Verdict (Post-Q4FY26 Concall)

- **Revenue visibility: Intact** — Rs.1,961 Cr order book (2.4x rev) + post-quarter ADNOC order provides strong FY27 coverage.
- **Margin trajectory: Intact** — Q4FY26 demonstrated 14% is achievable; guided 14-15% for FY27 has credible basis in order mix. Monitor quarterly.
- **Capital allocation quality: Intact / Monitor** — Capex jump is strategic; requires FY27 OCF turn to validate; watch borrowings trajectory.
- **Competitive moat: Intact** — Zero-pledge promoters, API 560 certifications, BPCL/Reliance repeat orders, and Korean technical lineage confirm strong moat.
- **Management credibility: Intact / Watch** — FY26 guidance broadly met; FY27 guidance (14-15% margin) is specific and ambitious. FY25 was a credibility dent — execution in H1FY27 is the acid test.
- **Valuation comfort: Weakened** — Stock +94% YTD, at 43x trailing / 30x FY27E. Limited margin of safety at Rs.505. Comfort improves meaningfully at Rs.460-480.
- **Conviction call: Unchanged** — **ACCUMULATE** on dips; patient 12-month holder. Not increasing conviction given stretched valuation.
- **Valuation snapshot:** P/E = 43.2x | EV/EBITDA = 24.2x | ROCE = 17.4% (FY24-25 avg: 30%, FY25 trough: 15%)

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. All financial data is sourced from Screener.in (fetched 30-Jun-2026) and Q4FY26 earnings concall (21-May-2026). Forward estimates are the analyst's own projections. Investors must conduct their own due diligence. For personal research use only.